VALUATION SUITE - EQUITY RESEARCH

Valuation Overdrive: How multiple valuations can lead to better decisions.

A multi-model approach to intrinsic value — combining DCF, Graham, and Multiples analysis into a single composite signal.

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IMPORTANT DISCLAIMER

The information contained in this report is for **educational purposes** only and should not be misconstrued as financial advice. Past performance is not indicative of future results. Viewers should consult with a qualified financial advisor for any help or guidance on their financial situation before making any investment decisions.

Get Started ->

Valuation Summary

Stock

MSFT

KEY ASSUMPTIONS

Beta	1.00
DCF growth rate	13.1%
EPS (TTM)	$13.70
Terminal growth rate	3.0%

MODEL BREAKDOWN

Model	Value	
Multiples	597.67	+20.2% vs price
Graham	335.65	-32.5% vs price
DCF	307.94	-38.1% vs price
Current Price	497.41	As of Model Date

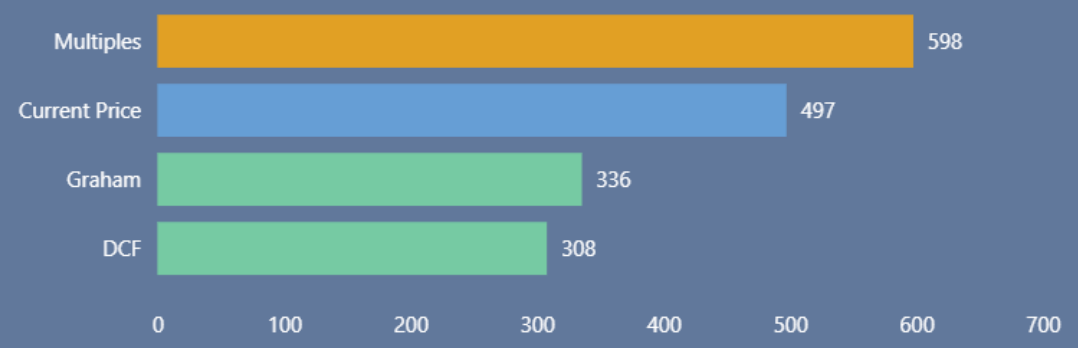
This report highlights the average intrinsic value of the selected stock. The status (over, under, fair) does not imply movement of stock prices in any direction.

Select a ticker symbol from the Stock dropdown at the top of this page or use the menu to go to a different page.

Overvalued

413.76	-37.61%	263.78
Avg Intrinsic Value	Upside %	Acceptable Buy $

Intrinsic Value by Model by Price



Discounted Cash Flow (DCF)

Stock

MSFT

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497.41
Current Price (Model Date)

-37.61%
Upside Potential %

Overvalued

ASSUMPTIONS

Discount rate (WACC)	9.8%
Shares outstanding	7,433M
Terminal growth rate	3.0%
Growth rate	13.1%
FCF base ($M)	$71,611

Discounted cash flows take the net present value of the cash flow of a company and discounts them based on a Weighted Average Cost of Capital (WACC). A terminal value is used to represent the perpetual growth of a company after a set period (usually 5 or 10 years).

Choose a stock from the drop down list or advance to the next page.

10 Year DCF Projection

Item	2026	2027	2028	2029	2030	2031	2032	2033	2034	2035
Discount Factor	0.9104	0.8289	0.7546	0.6870	0.6255	0.5694	0.5184	0.4720	0.4297	0.3912
FCF	80,993	91,604	103,605	117,178	132,530	149,892	169,530	191,740	216,860	245,271
PV of FCF	73,737	75,926	78,180	80,502	82,892	85,353	87,887	90,496	93,183	95,949

1.44M
DCF Terminal Value

307.94
DCF Value

Multiples Valuation

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Multiples are perhaps the easiest valuation tool. They use comparable stocks in an industry and take the average of companies in an industry.

The most common multiple is to use the P/E ratio, but several others are available and some analysts combing them.

Undervalued or Fairly Valued

PEER COMPARABLES

Competitor	Name	Price	EPS	Comp P/E	VS Subject
GOOG	Alphabet Inc.	273.76	10.91	25.09	-30.89%
FTNT	Fortinet, Inc.	78.20	2.44	32.05	-11.73%
ORCL	Oracle Corporation	139.66	5.69	24.54	-32.40%
PANW	Palo Alto Networks, Inc.	147.02	1.87	78.62	116.54%
SNPS	Synopsys, Inc.	380.47	6.58	57.82	59.26%

497.41
Current Price

43.63
Avg Comp PE

597.67
Multiples Value

File

Graham Valuation

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The Graham Valuation is one of the easiest as it's calculation with only a few parameters (See table).

Although simple, it offers great insight in valuations, especially when taking the average of a few methods, as is being done in this report.

$$V = EPS \times (8.5 + 2g) \times 4.4 / Y$$

FORMULA INPUT

EPS (TTM)	$13.70
EPS Growth Rate (g)	8.0
AAA Bond Yield (Y)	4.4
Base P/E (constant)	8.5

497.41
Current Price

-32.52%
Graham Margin

335.65
Graham Value

Overvalued

Analysis

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307.94	597.67	335.65	413.76
DCF Value	Multiples Value	Graham Value	Avg Intrinsic Value

External Valuations

Analyst	DCF	Multiples	Graham	Composite (Avg)
Alpha Spread	$393.82	$386.16	N/A	$391.01
Finbox	$482.01	$465.19	N/A	$473.60
GuruFocus	$479.28	$535.42	107.97	$374.22
Macroaxis	$558.00	$558.00	N/A	$591.71
Morningstar	$600.00	$600.00	N/A	$600.00
Seeking Alpha (Contributor Composite)	$444.75	$370.00	N/A	$426.06
Simply Wall St	$445.04	$429.86	N/A	$437.45
StockUnlock	$593.00	$593.00	N/A	$593.00
The Acquirer's Multiple	$228.64	$271.00	N/A	$249.82
Tradestie	$417.10	$417.10	N/A	$417.10
ValueInvesting.io	$380.43	$531.09	N/A	$480.87
WallStreetZen	$349.46	$411.49	N/A (paywalled)	$380.48

AI Commentary Display

Microsoft appears overvalued based on intrinsic valuation models, with a blended value around $310–$322 significantly below the current price of ~$497, implying roughly -38% downside and reinforced by consistent DCF and Graham outputs. However, the multiples-based valuation (~$598) suggests the market is assigning a premium due to strong expectations around growth, dominance in cloud and AI, and overall business quality, highlighting a divergence between fundamentals and sentiment. Taken together, the stock leans toward a "Sell" or "Overvalued" signal for value investors, though growth investors may justify the premium if Microsoft continues to outperform, making this more a debate between valuation discipline and belief in future execution.

NOTE: Current Price as of the date of analysis. Capturing the date at that time can allow for back testing functionality to be implemented in future phases!

Conclusion

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Valuation analysis can be a powerful tool for understanding whether a stock appears overvalued or undervalued, but the results across analysts in this report highlight an important reality, there are no silver bullets in investing. Even when using similar methodologies such as Discounted Cash Flow or multiples-based approaches, outputs can vary widely depending on assumptions, reinforcing that valuation is as much an art as it is a science. This dispersion suggests that valuation should be used as a directional guide rather than a definitive answer.

Interestingly, the gap between simplified valuation models and more complex, professional-grade analyses is often narrower than many investors might expect when assumptions are held constant. While institutional models may incorporate more variables, scenario testing, and nuanced forecasting, the core mechanics remain largely the same, which opens the door for individual investors to build meaningful valuations on their own. At the same time, this reality can support the argument for leveraging free or low-cost research from professional analysts, who bring experience, industry context, and scale to their work.

Ultimately, the decision comes down to personal preference and investing philosophy. Relying on external research may save time and provide broader perspective, while constructing your own valuations can deepen your understanding and connection to the businesses you invest in. Neither approach is inherently superior, the value lies in consistency, awareness of assumptions, and aligning your process with your long-term investment goals.

Happy Investing!